the analyst would meet with the same difficulty because "[o]bjective tests of managerial ability were few and far from scientific:"[35]

> *In most cases the investor must rely upon the reputation which may or may not be deserved. The most convincing proof of capable management lies in a superior comparative record over a period of time. But this brings us back to the quantitative data.*
>
> *There is a strong tendency in the stock market to value the management factor twice in its calculations. Stock prices reflect the large earnings which the good management has produced, plus a substantial increment for "good management" considered separately.*

Graham described this as "counting the same trick twice," and wrote that it was a frequent cause of overvaluation. The final qualitative factor that Graham warned against was assuming a trend in earnings. In what was then apparently a recent occurrence, but is a common occurrence today, analysts projected a past trend—be it earnings, sales, or some other fundamental measure—into the future and used the projection as the basis for valuing the security. The fact that the process included figures made it appear "mathematically sound" when it was in fact a "definite prediction of either better or poorer results, and it must be either right or wrong:"[36]

> *The factors that we mentioned previously as militating against the maintenance of abnormal prosperity or depression are equally opposed to the indefinite continuance of an upward or downward trend. By the time the trend has become noticeable, conditions may well be ripe for a change.*

Thus, placing too much weight on the trend would lead to errors of overvaluation or undervaluation:[37]

> *This is true because no limit may be fixed on how far ahead the trend should be projected; and therefore the process of valuation, while seemingly mathematical, is in reality psychological and quite arbitrary.*

Graham warned that a trend was merely the statement of an assumption about future prospects in the "form of an exact prediction." Just as conclusions about the nature of the business or the abilities of management, the trend found its chief significance as a forecasting tool when it was difficult to separate it from the prevailing business conditions. All of these qualitative factors suffer from the same basic problem: That it is impossible